Accounting Standard 4

Events Occurring After the Balance Sheet Date
Answers as per ICAI CA Inter Examination Format

Question 1 (Nov 2009)

Santhanam Ltd. invested ₹ 560 lakhs in April, 2009 in acquisition of another company. Negotiations had started during the current financial year. Year ended 31.3.2009.

Answer:

As per AS 4 (Revised) *'Contingencies and Events Occurring After the Balance Sheet Date'*, events occurring after the balance sheet date are those significant events that occur between the balance sheet date and the date on which financial statements are approved.

In the given case, though negotiations started during the year, the acquisition was completed only in April, 2009 i.e., after 31.3.2009. The condition of acquisition did not exist on the balance sheet date.

Therefore, it is a **Non-adjusting Event**. No adjustment is required in the financial statements for the year ended 31.3.2009. However, disclosure regarding investment of ₹ 560 lakhs should be made in the Report of the Approving Authority (Board's Report) as per AS 4.

Question 2 (June 2009)

Debtor of ₹ 2 lakhs suffered loss due to earthquake in last week of February, 2009. Debtor became bankrupt in April, 2009. Company made provision @ 5% on total debtors.

Answer:

As per AS 4, assets and liabilities should be adjusted for events occurring after the balance sheet date that provide additional evidence to assist the estimation of amounts relating to conditions existing at the balance sheet date.

In the given case, the debtor suffered heavy loss due to earthquake in February, 2009 i.e., before 31.3.2009. Bankruptcy in April, 2009 only confirms the irrecoverability of debt which already existed at the balance sheet date.

Therefore, it is an **Adjusting Event**. The company can and should provide for the **full loss of ₹ 2 lakhs** in the final accounts for the year ended 31.3.2009.

Question 3 (Final Nov 2003)

Same facts as Question 2 (dates: February 2003 and April 2003).

Answer:

As per AS 4, adjustment is required for post balance sheet events that provide evidence relating to conditions existing at the balance sheet date.

Earthquake loss occurred in February, 2003 (before year-end) and bankruptcy took place in April, 2003. Financial weakness of debtor existed on 31.3.2003.

Therefore, it is an **Adjusting Event**. Full provision for loss arising from insolvency should be made in accounts for the year ended 31.3.2003.

Question 4 (Final May 1995)

After close of accounting year, severe earthquake destroyed building and rolling mill. Damage was beyond repair. Company's resources were inadequate to replace assets.

Answer:

As per AS 4, events that do not relate to conditions existing at the balance sheet date are non-adjusting events. Disclosure of nature of event and financial effect is required. Going concern assumption should also be evaluated.

In the given case, earthquake occurred after the accounting year-end. Destruction of assets did not exist as a condition on the balance sheet date. Further, replacement of assets may affect going concern due to inadequate resources.

Therefore, it is a **Non-adjusting Event**. No adjustment in financial statements is required. Auditor should assess validity of **going concern** assumption. If going concern is valid, disclosure of nature of event and estimated financial effect (or statement that estimate cannot be made) should be made in the report of approving authority.

Question 5 (Auditing May 2000)

VRS announced in January, 2000. 200 employees opted by 31.3.2000. Lump-sum ₹ 250 lakhs and future payments ₹ 1,500 lakhs. No provision made.

Answer:

As per AS 4, liabilities should be adjusted for events occurring after the balance sheet date that relate to conditions existing at that date.

In the given case, 200 employees had already opted for VRS as on 31.3.2000. Thus, obligation under the scheme existed on the balance sheet date even though payment was not made.

Therefore, it is an **Adjusting Event**. Appropriate provision for VRS liability (lump-sum and present value of future payments, as applicable) should be made in accounts for the year ended 31.3.2000.

Question 6

Accounts approved on 19.5.2001. Directors recommended dividend @ 10% but feel it need not be disclosed as no obligation existed on 31.3.2001.

Answer:

As per AS 4 and applicable requirements, proposed dividend declared/recommended after the balance sheet date does not constitute a liability on the balance sheet date. However, it requires disclosure in notes to accounts.

In the given case, dividend was recommended after 31.3.2001. No liability existed on balance sheet date. But statutory disclosure cannot be omitted merely because it does not reflect condition on that date.

Therefore, I **do not agree** with the Board. It is a **Non-adjusting Event**. Dividend should **not be provided as liability** but must be **disclosed in Notes to Accounts**.

Question 7 (Final Nov 2005)

Debtor ₹ 10 lakhs — provision @ 20% made. Debtor became bankrupt in April, 2005. Nothing recoverable.

Answer:

As per AS 4, adjustments are required for events after balance sheet date that materially affect determination of amounts relating to conditions existing at balance sheet date.

Debtor was in financial difficulty before 31.3.2005. Bankruptcy in April, 2005 provides additional evidence of complete non-recoverability of ₹ 10 lakhs.

Therefore, it is an **Adjusting Event**. Company should provide for the **entire ₹ 10 lakhs** in accounts for the year ended 31.3.2005 as per para 8 of AS 4.

Question 8

Year ended 30.6.1998. Accounts approved 20.8.1998. Extra cost of ₹ 80 lakhs estimated on 1.9.1998 due to rocky surface during boring.

Answer:

As per AS 4, only events occurring between balance sheet date and date of approval of financial statements are covered.

In the given case, extra cost became evident on 1.9.1998 which is after approval of accounts on 20.8.1998.

Therefore, it is **not an event occurring after the balance sheet date** under AS 4. No adjustment is required in accounts for year ended 30.6.1998. If material, disclosure may be made in Directors' Report.

Question 9

R Ltd. invested ₹ 100 lakhs in April, 1998 for acquisition. Negotiations started during the year. Year ended 31.3.1998.

Answer:

As per AS 4, non-adjusting events are those that do not relate to conditions existing at the balance sheet date.

Acquisition was completed in April, 1998 after year-end though negotiations started during the year.

Therefore, it is a **Non-adjusting Event**. No adjustment required. Disclosure should be made in Report of Approving Authority.

Question 10

Cash theft of ₹ 5 lakhs in January 20X1. Detected in May 20X1. Accounts not yet approved.

Answer:

As per AS 4 (Revised), where fraud relating to the accounting period is detected after balance sheet date but before approval of financial statements, the loss must be recognized.

Theft occurred during the year ended 31.3.20X1 and was detected before approval of accounts.

Therefore, it is an **Adjusting Event**. Loss of **₹ 5 lakhs should be adjusted** in accounts for the year ended 31.3.20X1.

Question 11

Earthquake on 20.5.20X2 destroyed warehouse. Year ended 31.3.20X2. Accounts approved 30.6.20X2. Loss ₹ 30 lakhs.

Answer:

As per AS 4, adjustment is not appropriate for events after balance sheet date that do not relate to conditions existing at that date. Material non-adjusting events require disclosure.

Earthquake occurred after 31.3.20X2. Condition did not exist on balance sheet date.

Therefore, it is a **Non-adjusting Event**. Loss of ₹ 30 lakhs should **not be recognized** in accounts for 20X1-20X2. Earthquake and estimated loss should be **disclosed in Board's Report**.

Question 12

Legal suit filed against debtor for ₹ 15 lakhs as on 31.3.20X1. Legal opinion in April 20X1 — recovery not good.

Answer:

As per AS 4, assets and liabilities should be adjusted for post balance sheet events providing additional evidence of conditions existing at balance sheet date.

Debt of ₹ 15 lakhs existed on 31.3.20X1. Legal opinion in April, 20X1 confirms poor chances of recovery though final court outcome is future.

Therefore, it is an **Adjusting Event**. Full provision for doubtful debts of **₹ 15 lakhs** should be made for year ended 31.3.20X1.

Question 13

R Ltd. invested ₹ 100 lakhs in April 20X1 before Board approval for acquisition. Negotiations started during the year.

Answer:

As per AS 4 (Revised), events occurring after balance sheet date are significant events between balance sheet date and approval date. No adjustment is required if event does not affect amounts relating to conditions existing at balance sheet date.

Investment was made in April 20X1 after 31.3.20X1. Acquisition was not a condition existing on balance sheet date.

Therefore, it is a **Non-adjusting Event**. No adjustment in assets/liabilities. Disclosure of investment of ₹ 100 lakhs should be made in Report of Approving Authority.

Question 14

Year ended 30.6.20X1. Approved 20.8.20X1. Extra cost ₹ 80 lakhs on 1.9.20X1 due to rocky surface.

Answer:

AS 4 applies to events between balance sheet date and date of approval of financial statements only.

Extra cost was known on 1.9.20X1, after approval on 20.8.20X1.

Therefore, it is **not covered by AS 4**. No adjustment in financial statements for 30.6.20X1. Material facts may be disclosed in Directors' Report.

Question 15

Provision for bad debts @ 5%. Debtor ₹ 2 lakhs suffered earthquake loss in February 20X1. Became bankrupt in April 20X1.

Answer:

As per AS 4, assets and liabilities should be adjusted for events after balance sheet date that provide additional evidence relating to conditions existing at balance sheet date.

Earthquake loss occurred in February 20X1 (before year-end). Bankruptcy in April 20X1 confirms irrecoverability existing on 31.3.20X1.

Therefore, it is an **Adjusting Event**. Full provision of **₹ 2 lakhs** should be made in final accounts for year ended 31.3.20X1.

Note: Had earthquake occurred after 31.3.20X1, it would have been non-adjusting event with disclosure only.

Question 16

Raj Ltd. sued for trademark infringement. Provision ₹ 10 lakhs made. Court ordered ₹ 14 lakhs on 18.5.20X2. FS prepared 30.4.20X2, approved 30.5.20X2.

Answer:

As per AS 4 (Revised), adjustments are required for events before approval that materially affect amounts relating to conditions existing at balance sheet date.

Suit existed during 20X1-20X2. Court decision on 18.5.20X2 (before approval on 30.5.20X2) provides additional evidence of liability amount.

Therefore, it is an **Adjusting Event**. Provision should be increased by **₹ 4 lakhs** (from ₹ 10 lakhs to ₹ 14 lakhs).

Note: If judgment was delivered after 30.5.20X2, AS 4 would not apply and no adjustment would be required.

Question 17 — Alpha Ltd. (Approved 15.7.20X2)

(i) Suit filed on 20.4.20X2 claiming ₹ 25 lakhs

As per AS 4, adjustment is required only for events relating to conditions existing at balance sheet date. Contingencies under AS 4 are restricted to such conditions.

Suit was filed on 20.4.20X2 after 31.3.20X2. Claim did not exist on balance sheet date.

Conclusion: Non-adjusting Event. Not a contingency under AS 4. Disclosure in Report of Approving Authority if material.

(ii) Acquisition terms decided in March 20X2; ₹ 50 lakhs invested in April 20X2

As per AS 4, where terms and conditions are finalised before balance sheet date, subsequent payment/completion before approval is an adjusting event.

Terms were decided by March 20X2. Payment of ₹ 50 lakhs made in April 20X2 before approval.

Conclusion: Adjusting Event. Should be reflected in accounts for year ended 31.3.20X2.

(iii) Theft on 31.3.20X2; detected on 16.7.20X2

AS 4 applies only to events occurring before approval of financial statements (15.7.20X2).

Theft occurred on 31.3.20X2 but was detected on 16.7.20X2 i.e., after approval.

Conclusion: Not covered by AS 4. No adjustment in approved accounts. Loss to be accounted in next period.

Question 18 (July 21 & RTP May 2024) — Surya Ltd.

(i) Suit filed on 5.4.2021 for ₹ 5 lakhs

As per AS 4, events are classified based on whether condition existed at balance sheet date (31.3.2021).

Suit filed after year-end. No liability existed on 31.3.2021.

Conclusion: Non-adjusting Event. Not a contingency under AS 4. Disclosure required if material.

(ii) Property sale proposal in March 2021; deed registered 15.4.2021 (BV ₹ 30 lakhs, sale ₹ 45 lakhs)

As per AS 4, non-adjusting events do not relate to conditions existing at balance sheet date.

Only proposal was made in March 2021. Binding sale/deed registration completed on 15.4.2021 after year-end.

Conclusion: Non-adjusting Event. No adjustment on 31.3.2021. Disclosure of subsequent sale in Board's Report.

(iii) Acquisition terms decided by March 2021; ₹ 50 lakhs invested in April 2021

As per AS 4, where terms are finalised before year-end, subsequent investment before approval is adjusting event.

Terms decided by March 2021. Investment made in April 2021 before approval.

Conclusion: Adjusting Event. To be reflected in financial statements for year ended 31.3.2021.

(iv) Theft in March 2021; detected after approval of accounts

AS 4 applies between balance sheet date and date of approval only.

Theft occurred in March 2021 but detected after approval of financial statements.

Conclusion: Not covered by AS 4. No adjustment. Loss to be accounted in subsequent period.

Question 19

Building sold for ₹ 50 lakhs (BV ₹ 30 lakhs). Possession given. Legal formalities pending on 31.3.20X1. Amount shown as advance.

Answer:

As per concept of **Substance over Form**, if risks and rewards/beneficial interest have substantially transferred, transaction should be recorded accordingly even if legal formalities are pending.

In the given case, building was sold, possession was given to buyer, and economic substance of sale is complete though documentation is pending.

Therefore, I **do not agree** with the treatment. Sale should be recognized, building derecognized, and **profit of ₹ 20 lakhs** should be recorded in accounts for year ended 31.3.20X1.

Question 20 (CA Inter Dec 2021) — Year ended 31.3.2021; Approved 10.7.2021

(i) Equity dividend @ 7% declared on 15.5.2021

As per AS 4, proposed/declared dividend after balance sheet date is not a liability at year-end.

No obligation existed on 31.3.2021. Dividend declared on 15.5.2021 before approval.

Conclusion: Non-adjusting Event. No liability to be recognized. Disclose in Notes to Accounts.

(ii) Cash fraud ₹ 53,000 — collected 5.3.2021, detected 22.6.2021

As per AS 4, fraud relating to accounting period detected before approval requires adjustment.

Cash collected on 5.3.2021 but not deposited. Detected on 22.6.2021 before approval on 10.7.2021.

Conclusion: Adjusting Event. Loss of ₹ 53,000 should be adjusted in accounts for year ended 31.3.2021.

(iii) Fire on 23.5.2021 — loss ₹ 81 lakhs

As per AS 4, no adjustment for events not relating to conditions existing at balance sheet date.

Fire occurred on 23.5.2021 after year-end.

Conclusion: Non-adjusting Event. No adjustment. Disclose nature of event and estimated loss in Report of Approving Authority.

Question 21 (CA Inter Nov 2022) — MN Ltd. (Approved 15.6.2022)

(i) Fire on 7.4.2022 — loss ₹ 15 crores (fully insured)

As per AS 4, events not relating to conditions at balance sheet date are non-adjusting. Going concern should be assessed.

Fire occurred on 7.4.2022 after 31.3.2022. Loss expected to be fully covered by insurance.

Conclusion: Non-adjusting Event. No adjustment of loss. Disclose by way of note. Assess going concern — if valid, continue as going concern.

(ii) Patent breach claim ₹ 12 crores (received before year-end; claim baseless per counsel)

As per AS 29, provision is recognised only when outflow is probable and amount reliably estimable. Contingent liability is disclosed when possible obligation exists.

Claim received before 31.3.2022. Management and counsel believe claim will fail. Legal fees expected.

Conclusion: No provision for ₹ 12 crores. Disclose as contingent liability under AS 29. Provision for expected legal fees may be made if reliably estimable.

(iii) Property sale — contract exchanged 15.3.2022; finalized 15.5.2022 for ₹ 39,75,000 (BV ₹ 37,50,000)

As per AS 4, where binding contract exists before year-end, completion before approval is adjusting event.

Contract exchanged on 15.3.2022 before year-end. Sale finalized on 15.5.2022 before approval on 15.6.2022.

Conclusion: Adjusting Event. Recognize sale in accounts for 31.3.2022. Profit on sale **₹ 2,25,000** to be recorded.

Quick Revision — CA Inter

Particulars	Treatment
Condition existed on BS date + evidence after BS date	Adjusting Event — Adjust accounts
Condition did NOT exist on BS date	Non-adjusting Event — Disclose in Board's Report
Event after approval of FS	Not covered by AS 4 — Next year treatment
Proposed dividend	Non-adjusting — Disclose in Notes only

Fraud/theft during year, detected before approval	Adjusting Event
Terms finalised before year-end, payment after year-end	Adjusting Event